

2023, which inserted a new clause (h) in section 43B of the Income Tax Act, under which larger enterprises must pay MSMEs within 45 days of a written agreement. Failure to do so prevents these large businesses from deducting the expense from their taxable income, potentially resulting in higher taxes. This stringent timeline has caused a significant fallout, with many small business owners cancelling their MSME registrations. The critical question now is whether this policy shift genuinely supports the underserved sector or inadvertently drives business toward larger enterprises.

The intention of the provision, that came into effect from April 1, 2024, was to ensure that small businesses that often face long, unexplained delays in payments from their buyers, are paid on time and have adequate working capital. In fact, a 2022 report by the Global Alliance for Mass Entrepreneurship (GAME) estimated that delayed payments to MSMEs amounted to nearly ₹10.7 lakh crore, of which 80% was due to delayed payments to micro and small enterprises.

However, with much of industry unaware about the clause, its implementation has caused much uproar with MSMEs worried about losing customers. Many industry associations have also written to the finance ministry either seeking deferment of the provision or extension of the 45-day time period. The Ministry of Micro, Small & Medium Enterprises is understood to have reached out to players to understand the issue but given that it is an income tax provision, it is the finance ministry that can address it.

In early May, the Supreme Court's decision to reject the Federation of All India Vyapar Mandal's (FAIVM) petition against the 45-day payment rule for MSMEs sent shockwaves through the sector. The ruling not only heightened stress levels among MSMEs but also triggered a wave of order cancellations from large enterprises, casting doubts on the future of many small businesses.

Since then, FAIVM, as well as other industry associations, have been in discussions with the government to resolve the issue. "This provision has caused massive problems for small firms and infringes on the fundamental right to do business. The 45-day provi-



JAYENDRA TANNA

President, Federation of All India Vyapar Mandal

"[The 45-day rule] has caused massive problems for small firms and infringes on the fundamental right to do business. It should be increased to 180 days so that businesses do not face problems"



K.E. RAGHUNATHAN

National Chairman, Association of Indian Entrepreneurs

"The government neither prevented such damage [MSMEs giving up their registration] nor took corrective action... The resolution is to withdraw this directive and devise an alternative strategy"

sion should be increased to a period of 180 days so that businesses do not face problems," says FAIVM President Jayendra Tanna, adding that MSME registration benefits should be extended to traders. A delegation led by FAIVM Treasurer and National Spokesperson Rajeshwar Painuly also met the Finance Minister recently and sought the reconsideration of the provision in terms of both its timeline and taxability.

THE FALLOUT

Neeraj Kushwaha, Co-founder & Director of Bhopal-based Technosys Integrated Solutions—that provides solutions for smart cities and intelligent traffic management—says that after the rule came into effect, his firm withdrew orders from MSMEs, deeming the new business environment impractical. "Earlier, we were giving sub-contracts to micro-level players, and we were proud of it as we were helping local communities grow," he explains. "But now, doing business that way is not possible. We are in the service-based industry where a lot of back and forth is required."

Kushwaha points to a recent project in Ayodhya, where his company installed AI-based cameras and managed traffic through an integrated traffic man-